

debt is just as much a threat to a preferred stock as is a mortgage obligation. It does seem illogical to provide, as is usually done, that preferred stockholders may forbid the issuance of new preferred shares ranking ahead of or equivalent to theirs and also of any secured indebtedness, but that they have nothing to say about the creation of a debenture bond issue, however large.

Presumably this exclusion arose from the desire to permit bank borrowing for ordinary business purposes, but this point may be taken care of by a specific stipulation to that effect—just as the standard provision now used permits the pledge of assets to secure “loans made in the ordinary course of business” without requiring preferred stockholders’ consent.<sup>1</sup>

The preferred stockholders’ vote is rather frequently availed of to permit the issuance of an equal-ranking or even a prior security which is to be exchanged for the preferred stock itself under a recapitalization plan, the latter usually being designed to dispose of accumulated dividends. By giving the new issue equality with or priority over the old, stockholders who might otherwise be inclined to reject the composition are almost compelled to accept it.

*Examples:* In 1930 Austin Nichols and Company had 7% preferred stock outstanding on which dividends of \$21 per share had accumulated. The company offered to exchange each share for one share of \$5 Cumulative Prior A stock plus 1.2 shares of common. By vote of the preferred stockholders accepting the plan, the new Prior A stock was made senior to the old preferred. As a result, about 99% of the latter was turned in for exchange. International Paper and Fisk Rubber made similar adjustments of back dividends on the preferred in 1917 and 1925, respectively. In these cases, additional preferred stock was issued ranking equally with the old shares.<sup>2</sup>

---

<sup>1</sup> It should be noted, however, that there is a growing tendency in recent years to protect preferred stockholders against the creation of debenture bonds by requiring their approval of the issuance of any “bonds, notes, debentures, or other evidence of indebtedness maturing later than one year from the date of their issue.” See for example: the Kendall Company \$6 Participating Preferred, A. M. Byers Company 7% Preferred. Among the older issues Loose- Wiles Biscuit Company 7% First Preferred had this type of protection.

<sup>2</sup> More recent laws of some states have permitted companies to compel all preferred stockholders to accept a recapitalization plan upon a two-thirds affirmative vote. Example: The recapitalization of International Paper and Power in 1937 (under the laws of Massachusetts)